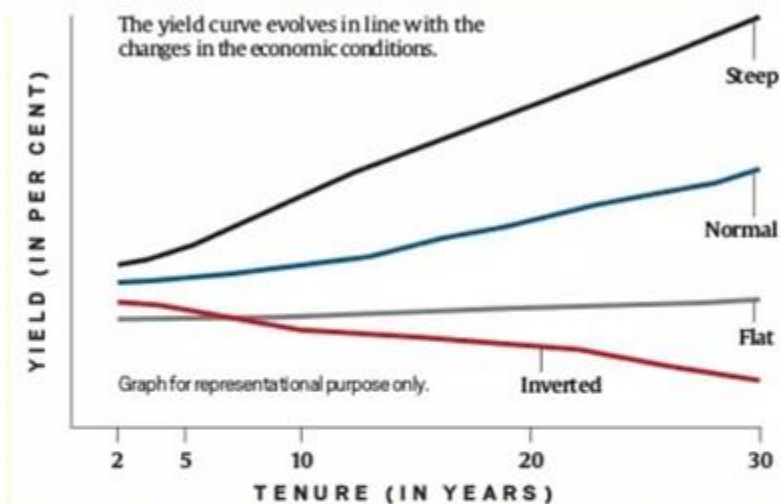
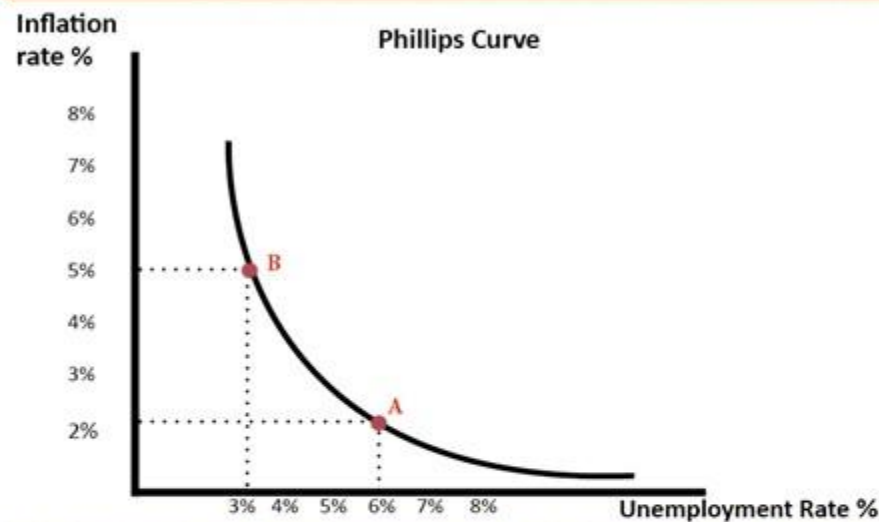
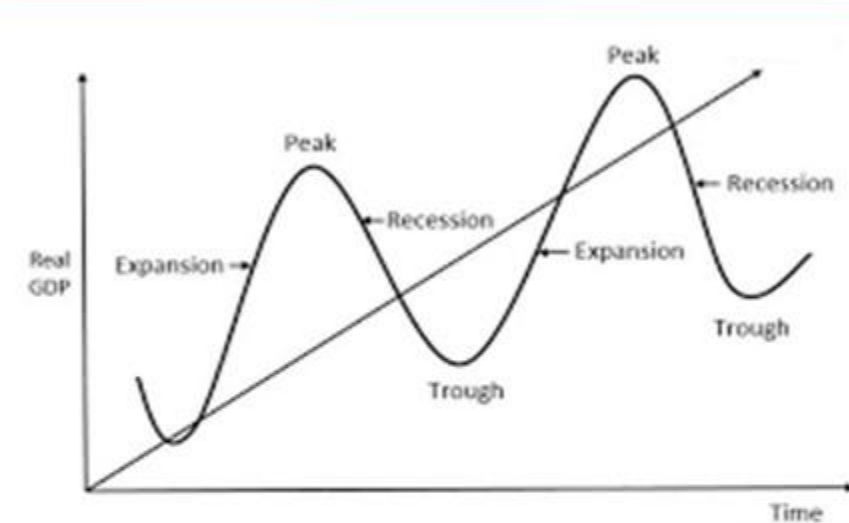


INDIAN ECONOMY

LEVEL
II



LECTURES

- CYCLICAL DOWNTURN
- STRUCTURAL DOWNTURN
- STAGFLATION
- YIELD CURVE

MODULE - 18



TWO TYPES OF ECONOMIC SLOWDOWNS

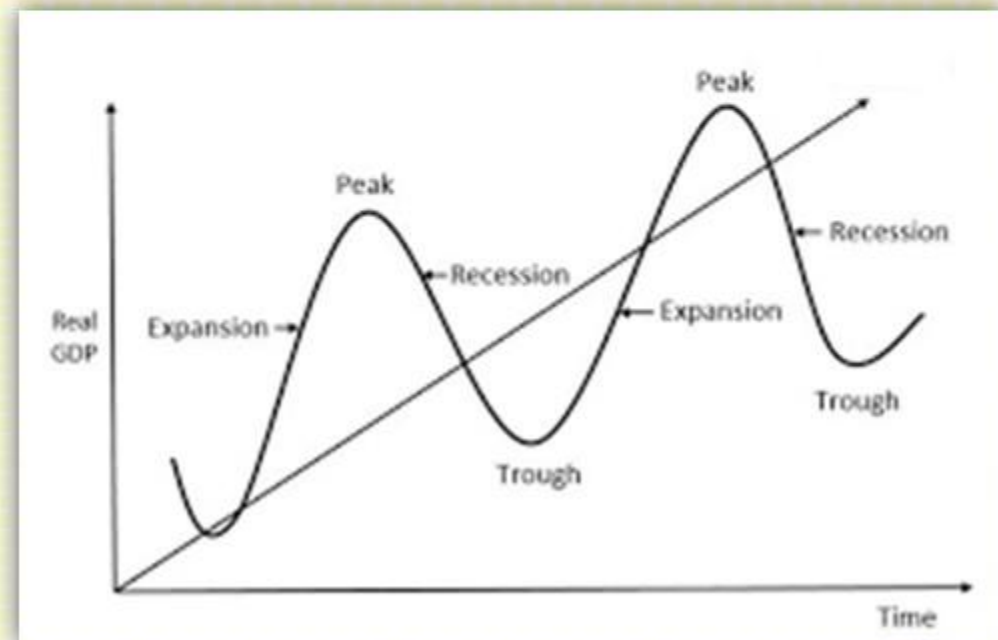


- It is due to over-investment in capital assets i.e., residential and non-residential.
- The production of final goods generated by excess investment is not absorbed, leading to lower prices, lower economic activity and some loss of employment.
- When this is accompanied by excess debt, the cyclical slowdown can be prolonged.

1

CYCLICAL SLOWDOWN

- A cyclical slowdown is a period of lean economic activity that occurs at regular intervals.
- Such slowdowns last over the short-to-medium term, and are based on the changes in the business cycle.



TWO TYPES OF ECONOMIC SLOWDOWNS

1

CYCLICAL SLOWDOWN

THREE EXAMPLES



Due to surplus production, costs may fall and farmers income may be reduced.



Due to the drought conditions, rural slowdown may occur.



Due to the excess investment, goods produced may not be absorbed leading to lower prices.



It is a more deep-rooted phenomenon. The changes, which last over a long-term, are driven by disruptive technologies, changing demographics and / or change in consumer behaviour.

2

STRUCTURAL SLOWDOWN

- Inefficient labour markets and Improper land markets are deep rooted structural factors.
- The collapse of any major financial entity and subsequent Contagion Effect are some of the other structural reasons for downturn in the previous decade.
- When excessive debt is involved and when assets fail to deliver the returns, partly because of Government policies, court judgments, the problems becomes structural. Other reasons can be forced formalisation due to GST.

TWO TYPES OF ECONOMIC SLOWDOWNS

2

STRUCTURAL SLOWDOWN

FOUR EXAMPLES



There is a perception that labour laws affected global competitiveness of India.



Due to improper land acquisition policies, Indian economy is suffering for a long time.



Due to the faulty agricultural marketing policies, Agriculture has not seen intended growth.



Due to adverse court judgments like coal-blocks/spectrum, the economy suffered during the previous decade.

TWO TYPES OF ECONOMIC SLOWDOWNS

1

HOW TO ADDRESS CYCLICAL DOWNTURN?

- Cyclical downturn requires counter cyclical measures in terms of monetary and fiscal policies.
- Repo rate reduction/increasing the money supply along with ensuring monetary transmission are normally attempted as monetary tools.
- Government should step up expenditure even by going beyond the fiscal deficit targets. Reducing the general taxation rates is also one of the fiscal tool.
- Public sector should also fast-track capital expenditure.

2

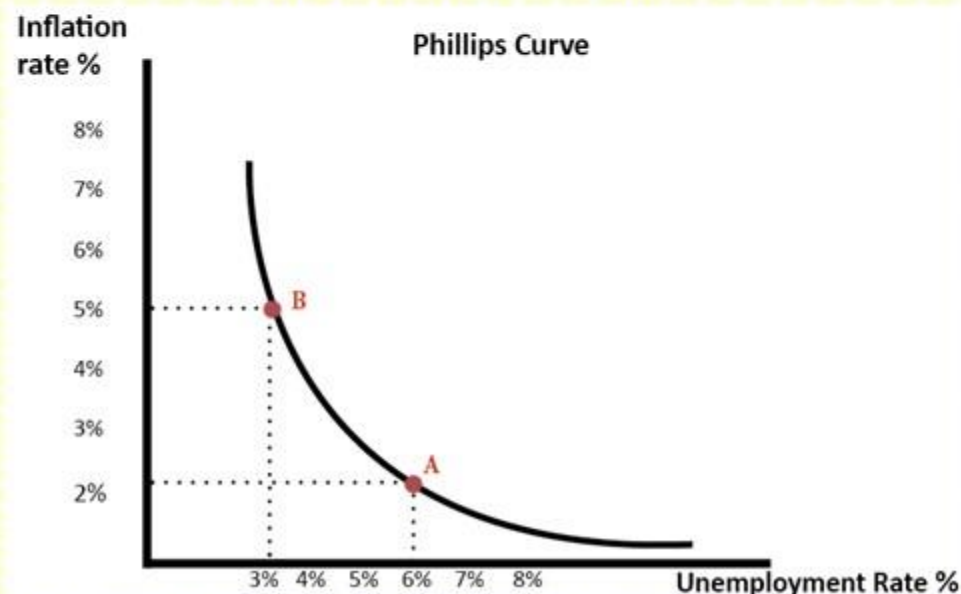
HOW TO ADDRESS STRUCTURAL DOWNTURN?

- Continuing focus on improving ease of doing business.
- Easing the regulatory mechanisms with soft-touch approach, wherever possible.
- Reforms in land and labour markets.
- Agricultural marketing reforms and paradigm shift in the overall agricultural policies.
- Having predictable taxation system.
- Avoiding tax overreach/ tax terrorism.

WHAT DO YOU UNDERSTAND BY PHILIPS CURVE?



WILLIAM PHILLIPS
New Zealand Economist



- The **idea** was first proposed by New Zealand economist **William Phillips**. The famous "**Phillips Curve**" is named after him.
- It is **based** on statistical studies of **inflation** and **unemployment**. It later **gained widespread acceptance** among mainstream economists.
- The **inverse relationship** between **inflation** and **unemployment** was seen as a confirmation of the hypothesis that **inflation helps the economy function at its full potential**.

Stagflation



Inflation



Low GDP


Higher Rate of
Unemployment

Recession in most of
the Economic Activities

Poor Implementation
of Government Policies

Components



WILLIAM PHILLIPS

*Stagflation
means the
violation of
Philips curve!*

STAGFLATION ... IMPROBABLE SCENARIO TILL 1970s!

- Stagflation is an economic phenomenon marked by a combination of slow economic growth/recession with high inflation.
- Until 1970s, Stagflation was considered to be quite improbable scenario, as it was felt that slowing economy normally may not result in high inflation. This is due to the reason that the demand for goods in slowing economy may be subdued.
- However, during 1973 Oil Shock global economies witnessed sharp setbacks due to the global increase in oil prices. Subsequently, the shocks of stagflation were felt by several nations.

LET US LEARN BASICS ABOUT YIELD CURVES!

SOVEREIGN BONDS VERSUS COMPANY BONDS



1 A bond is an instrument to borrow money. A bond could be issued by a country's Government or by a company to raise funds.

2 Government bonds come with the sovereign's guarantee. They are referred to as G-secs in India, Treasury in the US, and Gilts in the UK.

3 They are considered one of the safest investments. They also give the lowest returns on investment, which is known as yield.

4 Investments in corporate bonds tend to be riskier because the chances of failure are higher.

TERMINOLOGY PERTAINING TO BONDS

FACE VALUE AND COUPON RATE



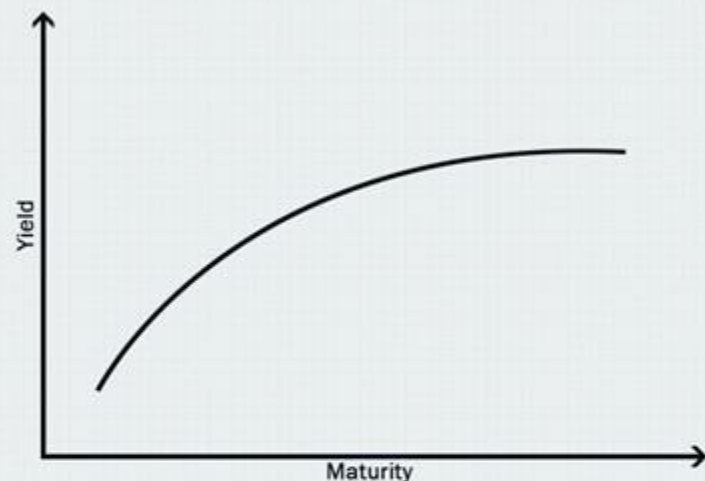
Suppose the duration of the bond is 20 years and the coupon rate is 5%.

RESALE VALUE AND YIELD



When the bond price in the secondary market reduces to \$ 90, the yield becomes more than 5.5%.

YIELD CURVE

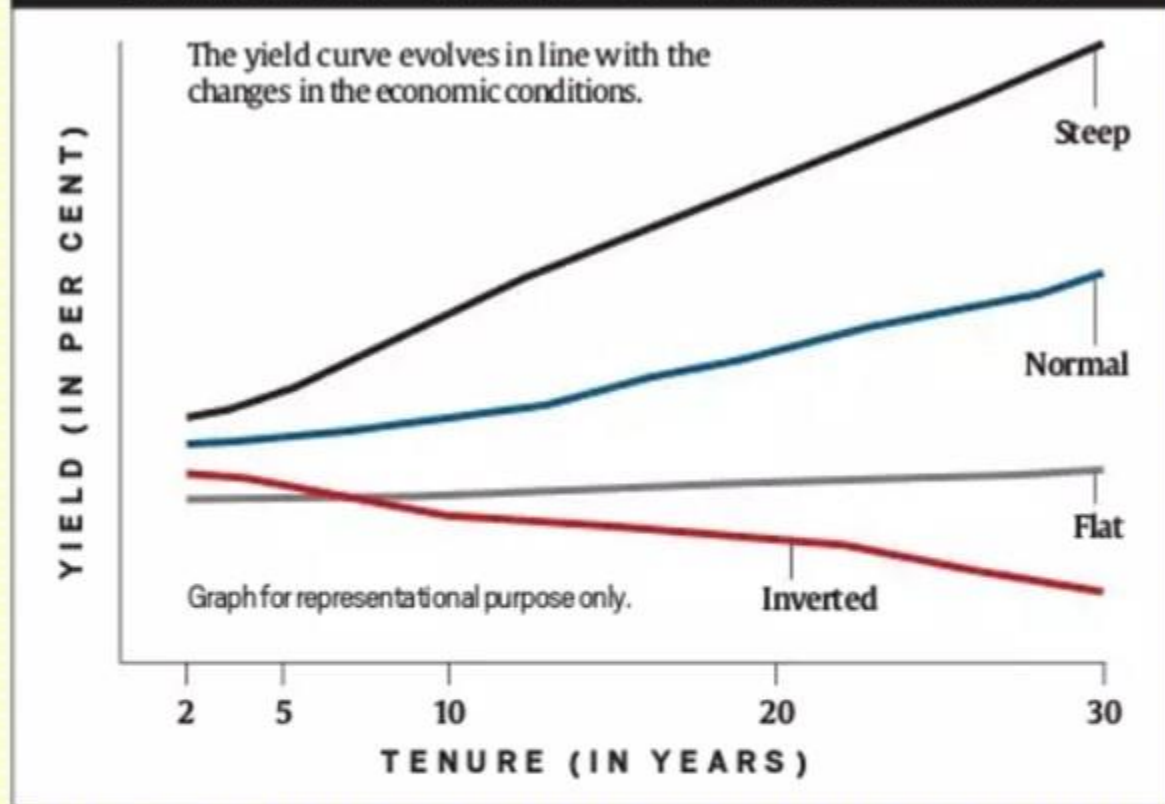


It is the graph we get by plotting the interest rates at which a single borrower can take loans from the market for different durations.

WHY THE YIELD FOR LONGER MATURITY IS HIGHER?

- If we deposit money in the bank for three months, we get around 4% interest. If we deposit for 1 year, we get around 6%.
- Similarly, bonds with longer maturity periods will have higher yield (interest) in comparison to the bonds with short-term maturity periods.
- Debt issued for a longer term generally carries greater risk because of the greater likelihood of inflation or default in the long run. Hence, the yield on long-term bonds is higher than those of short-term.

DIFFERENT TYPES OF YIELD CURVES



RBI resort to simultaneous purchase of long term securities and sale of short term T-Bills to reduce the interest rate difference (to make the steep yield curve normal), which is known as operation twist.

STEEP YIELD CURVE

- The upward sloping yield curve becomes steep i.e., the gap between the interest rates on long-term bonds and short-term bonds increase.
- This happens when there are fears of breaching the fiscal deficit / inflation shooting up.

INVERTED YIELD CURVE

- In this case, the short term bonds have higher yields than long term bonds. It is also referred to as the Negative Yield Curve.
- It is normally considered as a precursor to the economic recession. Historically, inversions of the Yield Curve have preceded many of the US recessions.

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